

INVESTMENT ANALYSIS

Verve Suites · Mont Kiara · Kuala Lumpur

Investment Score



Best Strategy	Buy & Hold
Property	Freehold Serviced Residence
Completed	2015
Units	881 across 4 towers
Median Transacted PSF	RM 866 (Jun 2024–Apr 2025)
Entry (1-bed model)	~RM 580,000
Gross Rental Yield	~4.1%
Monthly Top-up (90% MOF)	~RM 935
Hold Target	7–10 years (exit Yr6+ for 0% RPGT)

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Property Investment Profile

Field	Value
Project	Verve Suites, 5 Jalan Kiara 5, Mont Kiara, KL
Developer	Bukit Kiara Properties Sdn Bhd
Type	Freehold Serviced Residence (commercial strata title)
Tenure	Freehold
Completed (VP)	2015
Blocks / Units	4 towers (Viva, Vibe, Vogue, Vox) / 881 units
Built-up Range	462 sq ft (studio) — 1,394 sq ft (3-bed)
Median Transacted PSF	RM 866 (Jun 2024–Apr 2025, brickz, 21 txns)
Asking PSF	~RM 869 (iProperty)
Typical Rent	Studio RM 1,800–2,200 · 1-bed RM 2,300–2,700 · 2-bed RM 3,000–4,000
Maintenance Fee	RM 0.33 psf/mo (commercial utility tariff applies)
Appreciation Rate	2–3%/yr (Mont Kiara 2025 consensus)
Mortgage Rate	~4.4% p.a. (BNM OPR-linked floating)

■ Commercial Title: Verve Suites is a serviced residence on commercial strata title — utilities billed at commercial rates (~20–30% higher). Confirm bank's MOF policy for commercial-title properties before committing.

Strategy Comparison Dashboard

Metric	Buy & Hold	BRRRR	Renovate & Resell
Feasibility Score	65/100	58/100	48/100
Model Unit	1-bed 672 sf @ RM 580K Studio 462 sf @ RM 480K distressed 1-bed 672 sf @ RM 560K		
Total Cash Required	~RM 86K (90% MOF)	~RM 105K	~RM 165K
Income / Return Target	RM 2,400/mo rent	RM 2,100/mo post-reno	ARV RM 638K (loss pre-RPGT)
Timeline	7–10 yr hold	~6 mo to stabilise	12–18 mo (if viable)
Risk Level	Moderate	Moderate–High	High
Best For	Expat landlord; patient	Tight capital, refi-recycle	Not recommended

Investment Score Breakdown



Strategy	Score	Weight	Weighted
Buy & Hold	65	45%	29.3
BRRRR	58	35%	20.3
Renovate & Resell	48	20%	9.6

COMPOSITE	59	—	59.2
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Strategy 1: Buy & Hold — 1-Bed 672 sq ft @ RM 580,000

Acquisition & Financing

Parameter	90% MOF (1st/2nd)	70% MOF (3rd+)
Purchase Price	RM 580,000	RM 580,000
Loan Amount	RM 522,000	RM 406,000
Down Payment	RM 58,000	RM 174,000
MOT Stamp Duty (~2.5%)	RM 12,400	RM 12,400
Loan Stamp Duty (0.5%)	RM 2,610	RM 2,030
Legal Fees (est.)	RM 8,000	RM 8,000
Immediate Repairs	RM 5,000	RM 5,000
TOTAL CASH INVESTED	~RM 86,000	~RM 201,400

Annual Cash Flow (90% MOF, 4.4%, 35yr, 7% vacancy)

Line Item	Year 1	Year 3	Year 5	Year 10
Gross Monthly Rent	RM 2,400	RM 2,520	RM 2,648	RM 3,020
Gross Annual Rent	RM 28,800	RM 30,240	RM 31,776	RM 36,240
Vacancy (7%)	–RM 2,016	–RM 2,117	–RM 2,224	–RM 2,537
Maintenance Fee	–RM 2,661	–RM 2,741	–RM 2,823	–RM 3,084
CapEx / Repairs (5%)	–RM 1,440	–RM 1,512	–RM 1,589	–RM 1,812
Fire Insurance	–RM 600	–RM 600	–RM 600	–RM 600
Assessment + Quit Rent	–RM 1,200	–RM 1,200	–RM 1,200	–RM 1,200
Agent Fee (renewal, amort.)	–RM 2,400	–RM 2,520	–RM 2,648	–RM 3,020
NOI	RM 18,483	RM 19,550	RM 20,692	RM 23,987
Mortgage Instalment	–RM 29,712	–RM 29,712	–RM 29,712	–RM 29,712
NET CASH FLOW	–RM 11,229	–RM 10,162	–RM 9,020	–RM 5,725

Negative leveraged cash flow (~RM 935/mo top-up) is expected and normal for Mont Kiara at 90% MOF. This is an appreciation + equity play.
Gross yield ~4.1%; net yield ~3.2%.

Appreciation & Equity Buildup (2.5%/yr)

Year	Property Value	Appreciation Gain	Loan Balance	Equity
0	RM 580,000	—	RM 522,000	RM 58,000
1	RM 594,500	RM 14,500	RM 519,780	RM 74,720
3	RM 624,300	RM 44,300	RM 515,100	RM 109,200
5	RM 655,600	RM 75,600	RM 509,800	RM 145,800
10	RM 743,000	RM 163,000	RM 493,600	RM 249,400

Total Return — Buy & Hold

Component	5-Year	10-Year
Cumulative Net Cash Flow	–RM 50,500	–RM 83,700
Appreciation Gain	RM 75,600	RM 163,000
Principal Paydown	RM 12,200	RM 28,400

Less: RPGT (0% if sold Yr6+)	RM 0	RM 0
Less: Selling Costs (~4%)	-RM 26,200	-RM 29,700
NET TOTAL RETURN	~RM 11,100	~RM 78,000
Annualized ROI on Cash (90% MOF)	~2.6%	~9.1%

■ Do NOT sell before Year 6 — RPGT (15% in Yr5) on a RM 76K gain = RM 11,400 avoidable tax. The 10-year hold is where the return becomes meaningful.

Malaysian Tax Treatment — Rental Income

Malaysia does NOT allow residential property depreciation for individuals (unlike US 27.5-yr rule). Rental income is taxed at scaled personal rates. Only specific cash expenses are deductible.

Deductible Expense	Notes
Loan interest portion	Interest component of monthly instalment only (~RM 1,900/mo Year 1)
Assessment (Cukai Pintu)	~RM 900/yr
Quit Rent (Cukai Tanah)	~RM 300/yr
Fire insurance premium	~RM 600/yr
Maintenance fee + sinking fund	~RM 2,661/yr
Repairs & maintenance	To maintain (not improve) — keep receipts
Renewal agent commission	For lease renewal only — first-letting fee is capital

NOT Deductible	Notes
Principal repayment	Capital in nature
Depreciation	NO residential depreciation allowance for individuals in Malaysia
Initial renovation / first-fit-out	Capital — but adds to RPGT cost base on disposal
First-letting agent commission	Capital

Strategy 2: BRRRR — Distressed Studio 462 sq ft @ RM 440K

Phase	Detail	Amount
BUY	Target Distressed Price	RM 440,000
BUY	MOT Stamp Duty + Legal	RM 13,400
RENOVATE	Full Cosmetic Reno Budget	RM 50,000
RENOVATE	Reno Timeline	2–3 months
RENT	Post-Reno Monthly Rent	RM 2,100
REFINANCE	ARV (conservative estimate)	RM 520,000
REFINANCE	Refi at 80% of ARV	RM 416,000
REFINANCE	Original Loan (90% on RM440K)	RM 396,000
REPEAT	Cash Returned from Refi	RM 20,000
REPEAT	Cash Left in Deal (net)	~RM 85,000

Renovation Budget — Studio 462 sq ft

Category	Scope	Cost (RM)
Kitchen cabinetry + countertop	Full replacement	RM 7,000
Bathroom (×1)	Tile, fittings, vanity	RM 5,500
Flooring (SPC throughout)	462 sq ft	RM 6,000
Painting + false ceiling	Throughout	RM 4,000
Wiring / DB upgrade + lighting	LED + upgrade	RM 3,500
Air-conditioning (1 unit)	New inverter	RM 3,000
Built-in carpentry	Wardrobe + TV console	RM 6,000
Waterproofing (bathroom)		RM 1,500
Plumbing check		RM 1,000
Permits + disposal		RM 1,500
Contingency (15%)		RM 6,000
TOTAL RENO		RM 45,000–55,000

BRRRR Financial Analysis

Metric	Value
Total All-In (purchase + stamps + reno)	RM 503,400
ARV (conservative)	RM 520,000
Equity Created	RM 16,600 (~3% of ARV) — thin
70% Rule (Purchase + Reno ≤ 70% of ARV)	FAIL at asking price
Post-Refi Monthly Cash Flow	~RM 430/mo
Cash Left in Deal	~RM 85,000
Infinite Return?	No — RM 85K still invested

■ BRRRR only works if entry price negotiated to RM 370–390K (rare). ARV confidence is LOW — thin renovated-unit transacted data on brickz for small studios. Get a licensed valuer's opinion before refinancing.

Strategy 3: Renovate & Resell (Flip)

Model: 1-bed 672 sq ft @ RM 560,000 entry · ARV RM 638,000 (RM 950 psf renovated)

P&L Item	Amount
ARV (RM 950 psf × 672 sq ft)	RM 638,000
Less: Purchase Price	–RM 560,000
Less: Reno Budget (~RM 80 psf)	–RM 53,800
Less: Stamp Duty + Legal (buy)	–RM 19,400
Less: Holding Costs (6 months)	–RM 12,500
Less: Selling Costs (agent + legal)	–RM 17,200
GROSS GAIN (before RPGT)	–RM 24,900 (LOSS)

Renovate & Resell is NOT recommended for Verve Suites at current prices. The spread between distressed entry and renovated ARV is too thin. 881 units across 4 towers creates significant internal resale competition, suppressing premiums. RPGT of 30% in Yr1–3 makes any short-hold trade very difficult to profit from.

Recommendation & Buyer Matrix

Buyer Profile	Recommendation
Investor, 1st/2nd property, RM 86K cash	Buy & Hold 1-bed — top up RM 935/mo, hold 7–10 yr
Investor, 3rd+ property	Pause — 70% MOF requires ~RM 201K cash; stress-test DSR
Renovation enthusiast, distressed unit	BRRRR only if entry ≤ RM 390K — specific deal
Short-hold flipper	Pass — RPGT + thin spread = losing trade
Expat own-stay (MM2H)	Eligible (freehold, >RM 1M threshold applies for foreigners)
Foreign buyer (non-MM2H)	Min. RM 1,000,000 purchase (KL); check foreign stamp duty +4%

Risk Factors

Risk	Severity	Likelihood	Mitigation
Commercial-title utility tariff	Medium	Certain	Factor into running costs; confirm bank MOF
High density (881 units) → resale competition	Medium	High	Price to market; don't over-accumulate
Negative cash flow at 90% MOF	Medium	High	Budget RM 935/mo top-up
Slow appreciation (2–3%/yr)	Medium	Medium	Hold long-term; accept gradual equity build
Short-stay/Airbnb regulation	Low–Med	Medium	Check JMB by-laws before STR thesis
Sinking fund adequacy (10yr old)	Low–Med	Low	Request management account from JMB
RPGT (30% if sold Yr1–3)	High	High if sold early	Never sell before Yr6
MK serviced apt oversupply	Medium	Medium	Focus on tenant demand quality; furnished units let faster

Next Steps

1. Inspect 2+ units — compare floor, facing, furnishing condition.
2. Request JMB management account + sinking fund balance.
3. Negotiate 5–10% below asking (125 rental + 105 sale listings = buyer leverage).
4. Confirm bank: commercial title MOF (some cap at 85%).
5. Confirm property count (1st/2nd vs 3rd+) — determines MOF and viability.
6. Run /realestate mortgage 580000 to model full DSR.
7. Run /realestate rental Verve Suites 672 sqft for detailed rental scenarios.

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